IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH – II, CHENNAI

CP(CAA)/33/CHE/2022 in CA(CAA)38(CHE)/2021

Under Section 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Amalgamation of

HARSHA CARS PRIVATE LIMITED
CIN: U34103TN2008PTC129357
D.No. 142-A, Survey No.92,
Poonamalle High Road,
Noombal Velappanchavadi,
Chennai – 600 077

.... Transferor Company

And

HARSHA AUTOMOBILES PRIVATE LIMITED
CIN: U50100TN2008PTC068046
D.No. 142-A, Survey No.92,
Poonamalle High Road,
Noombal Velappanchavadi,
Chennai – 600 077

..... Transferee Company

And

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

*Order pronounced on **27th June 2022***

CORAM:

JUSTICE (RETD) S. RAMATHILAGAM, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Petitioner: Y. Suryanarayana, Advocate

ORDER

Per: **Justice (RETD) S. RAMATHILAGAM, MEMBER (JUDICIAL)**

Under consideration is a Company Petition which has been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation, as contemplated between the Petitioner Companies viz. **HARSHA CARS PRIVATE LIMITED** *(hereinafter referred to as "Transferor Company")* and **HARSHA AUTOMOBILES PRIVATE LIMITED** *(hereinafter referred to as " Transferee Company")* under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 (for brevity 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') pursuant to the Scheme of Amalgamation (hereinafter referred to as the 'SCHEME') proposed between the Companies and the said Scheme is also annexed as Annexure '5' to the typed set filed along with the Petition.

2. **1ST MOTION APPLICATION - IN BRIEF**

2.1. The Transferor & Transferee Companies have filed the First Motion Application vide CA/(CAA)/38/CHE/2021 seeking directions for dispensing with the meeting of the Equity Shareholders of the Transferor and Transferee Company. Further, necessary directions were sought for holding the meeting of the Secured Creditors and

Unsecured Creditors of the Transferor and Transferee Companies.

2.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 06.12.2021. The chairman has convened and held the meetings and filed the result of meetings before this Bench. Subsequently the second motion petition was electronically filed before this Tribunal by the petitioner companies on 05.02.2022 for sanction of the Scheme of Amalgamation by this Tribunal.

3. RATIONALE OF THE SCHEME

3.1. The Rationale and benefits of the Scheme as submitted by the Learned Authorized Representative for the Petitioner Companies would inter alia result in the following benefit;

(i) The proposed amalgamation will reduce administrative costs and also result in reduction of overheads and other expenses, reduction in administrative and procedural work, enable the amalgamated company to effect internal economies and optimise profitability as also to reduce administrative

inefficiencies by reducing duplication of functions.

ii) The Scheme shall be beneficial and in the best interest of the shareholders, creditors and employees of the Transferor Company, and the Transferee Company and to the interest of the public at large and all concerned;

4. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 17.03.2022 has directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (II) RoC, Chennai, (iii) the Income Tax Department, (iv) Official Liquidator and other sectoral regulators, who may govern the working of the respective companies, as well as for paper publication to be made in "Business Standard", English (All India edition) and "Makkal Kural" Tamil (Chennai edition)

5. In compliance with the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have effected paper publication as directed

by the Tribunal in one issue "Business Standard", English (All India edition) on 19.04.2022 and "Makkal Kural" Tamil (Tamil Nadu edition) on 20.04.2022. It is also seen that notices have been also served to (i) The Regional Director, Southern Region, Chennai (ii) Registrar of Companies, Chennai on (iii) Income Tax Department, (iv) Official Liquidator and the proof of the same by way of affidavits has been enclosed with the typed set filed along with the Petitions. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows;

6. STATUTORY AUTHORITIES

6.1. REGIONAL DIRECTOR:

6.1.1. The Regional Director, (hereinafter referred to as 'RD') Chennai to whom the notice was issued, has filed his Report on 02.06.2022 before this Tribunal and has stated at para 8 that Clause 7 of Part B of the Scheme provides for the protection of the Interest of the employees of the Transferor Company.

6.1.2. The RD in para 3 of its report has stated that the appointed date mentioned in the Scheme is 01.04.2020 which is ante dated beyond a year and is not in accordance with

Section 232(6) of the Companies Act, 2013 and hence prayed for revision of the Appointed Date.

6.1.3. It was submitted in para 12 of the Report that the name of the Transferee Company shall be changed from existing name "HARSHA AUTOMOBILES PRIVATE LIMITED" to the name of the Transferor Company "HARSHA CARS PRIVATE LIMITED". The RD prayed for a direction to the Transferee Company to file the requisite forms with the jurisdictional RoC to give effect to the proposed name.

6.1.4. It was further observed that as per the report of ROC Chennai, the Transferor and Transferee Companies are regular in filing their statutory returns and has reported that there is no prosecution / Inspection or Investigation is pending against the Companies.

6.1.5. In reply to the said observation made by the RD, the Petitioner has filed an Affidavit stating that the Board of Directors in their meeting held on 07.06.2022 has approved modification of the Appointed Date to 01.04.2021. Further, it has been stated in the Reply Affidavit that the Petitioner

Company shall file the requisite forms with the jurisdictional RoC to give effect to the proposed name.

6.2. OFFICIAL LIQUIDATOR

6.2.1 In relation to the Official Liquidator, (hereinafter referred to as 'OL') to whom the notice was issued has filed the Report before this Tribunal on 31.05.2022 has stated that they have appointed M/s. Arun & Balu, Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Company, wherein based on the report of the independent auditor (appointed by the office OL) had concluded that the affairs of the Petitioner Company have not been conducted in a manner prejudicial to the interest of its members or creditors or to the public. Further based on the prayer of the Official Liquidator in said report, the remuneration for the independent auditor is fixed as **Rs.50,000/-** *(Rupees Fifty Thousand Only)* for each transferor company, and the same maybe paid by the Transferor Company within a period of one week from the date of this order.

6.3. INCOME TAX DEPARTMENT:

In spite of notice having been served to the Income Tax department by the Companies, there was neither any representation nor any report filed by the said authorities. In the said circumstances as per section 230(5) of the Companies Act, 2013, this Tribunal presumes that the said Department does not have any objection to the sanction of the Scheme.

6.4 OTHER STATUTORY AUTHORITIES

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory Departments does not have any objection to the sanction of the Scheme.

7. VALUATION REPORT

7.1. The Learned Authorized Representative for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from V. Gangadhara Rao, Registered Valuer dated 16.04.2021, wherein the share exchange ratio has been mentioned:

"The share exchange ratio is 19.41:1 is considered equitable and appropriate. Accordingly, M/s. Harsha Automobiles Private Limited (Transferee Company) shall issue 19.41 shares for every 1 share to the shareholder of M/s. Harsha Cars Private Limited (Transferor Company)"

8. ACCOUNTING TREATMENT

8.1. The Learned Authorized Representative for the Petitioner Companies has stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Petitioner Companies are placed as 'Annexure - 6' to the typed set filed along with the Petition.

9. OBSERVATIONS OF THIS TRIBUNAL

9.1. After analysing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be prima fade

beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Amalgamation as well as the prayer made therein.

9.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

9.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

9.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

10. **THIS TRIBUNAL DO FURTHER ORDER**:

i. That all properties, right and interest of the Transferor Company shall, pursuant to section 232(3) of the Companies Act 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company.

ii. That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

iii. That the Appointed date for the Scheme shall be **1st April 2021**.

iv. That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

v. That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service.

vi. That the Transferee Company do without further application allot to such members of the Transferor Companies, as have not given such notice of dissent, as is required by Clause 10.1 of Part B of the SCHEME herein the shares in the Transferee Company to which they are entitled under the said SCHEME.

vii. That the name of the Transferee Company viz. M/s. "Harsha Automobiles Private Limited" is hereby changed to M/s. "Harsha Cars Private Limited" and the Transferee Company shall file requisite forms with the concerned Registrar of Companies in this regard.

viii. That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

ix. That the Transferor Company and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to the Transferee Company and the files relating to both the said companies shall be consolidated accordingly.

x. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

11. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

-SD-

ANIL KUMAR B
MEMBER (TECHNICAL)

-SD-

Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)

Raymond